

Let us quickly summarize what we have learnt. To understand long term liabilities, we need to understand:

Debt is the most significant factor and needs to be understood well. The cost of the debt, how well it is covered, and the use of debt in the capital structure.

How the credit rating of the company has evolved in recent years? If the rating is upward, it shows the improvement of the company. A downward credit rating trend shows that the company's finances are going south rather than improving.

We need to take a look at the long-term borrowings against the free cash flow.

Cost of borrowings, financial assets, and the purpose of the loan taken.

Size of long-term provisions, payment terms, and the resources to pay? Whether paid from cash flow and the trend of liabilities being paid every year.

Float-like items and non-interest-bearing debt-like items. We need to know when the payment is due and the resources to make that payment.

Lastly, we need to look at non-categorized liabilities.

In the next section, we start the discussion on Equity.

As an exercise, practice these on multiple companies, especially the ones that are debt-heavy and have even defaulted. This will help differentiate healthy companies from unhealthy ones for the future.